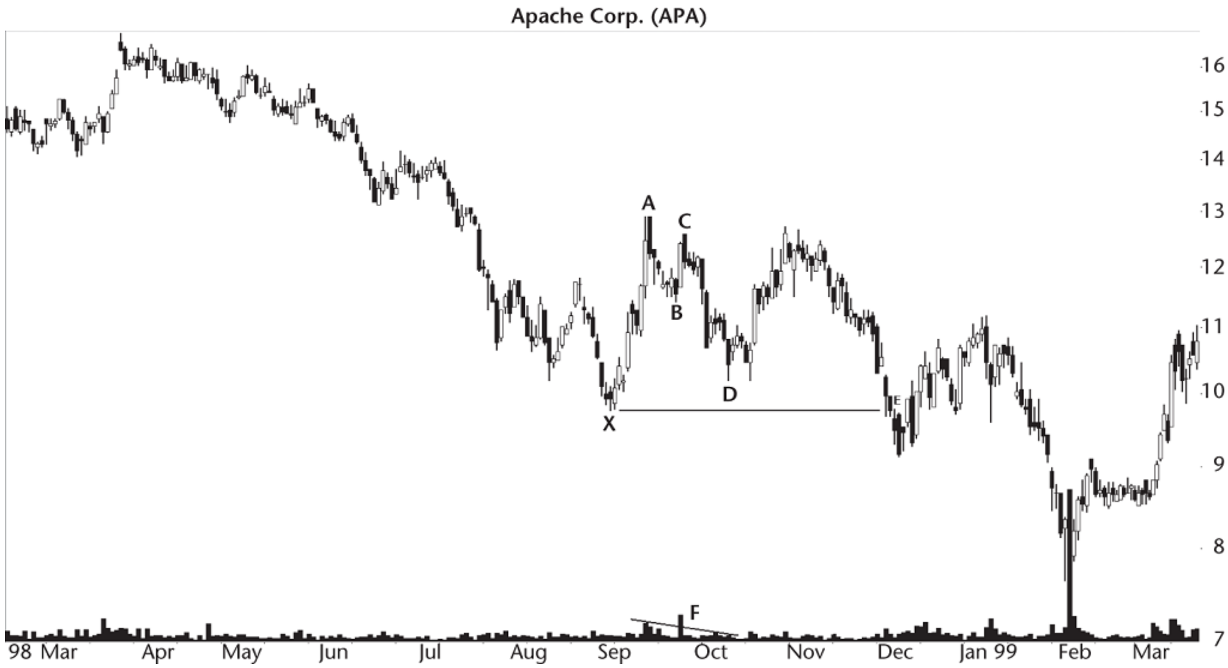

Figure 5.2 This bullish bat rises after point D, but breaks out downward at E.

For example, the low at point X is 9.76. The high at A is 12.90, and the high–low range at B is 11.81 – 11.40. The AB/AX ratio using the high at B would be (12.90 – 11.81)/(12.90 – 9.76) or .35. Using the low price at B would give (12.90 – 11.40)/(12.90 – 9.76) or .48. The .382 number nestles comfortably between .35 and .48, so XAB is a valid turn.

CB/AB retrace. In a similar manner, I use the high at A, low at B, and high–low range at C (12.57 to 11.98) to qualify the CB/AB retrace. Plugging in the numbers we get a range of .39 to .78. That range must encompass one of the numbers listed in the table, and it does. In fact, several of the numbers listed fall within that range. Although such a large range might seem like the recognition rules are lax, only a few patterns qualify. Let's continue with the CD extension.

CD/CB extension. CD is longer than CB, so we call that an extension and not a retrace. Let's go through the math for this one. It follows the same rules as before. I use the low at B, high at C, and the high–low range at D to qualify the three points. D is at 10.81 to 10.19. Plugging them into the equation, we get (12.57 – 10.81)/(12.57 – 11.40) or 1.50 using the high at D. The low at D becomes: (12.57 – 10.19)/(12.57 – 11.40) or 2.03. Two numbers fit that range: 1.618 and 2, so the turn qualifies.